

Morning Brief

Wednesday, June 17, 2026 — 10:56 AM ET · \$50,000 Portfolio

Neutral

CIO EXECUTIVE SUMMARY

- ▶ Fed decision imminent; tech profit-taking headwind vs institutional infrastructure/defense accumulation
- ▶ SPY flat, QQQ+IWM outperform; small-cap breadth positive but macro caution warranted
- ▶ ACN/KMX earnings pre-open; PLAY/SWBI after-close; elevated event risk into FOMC
- ▶ Sector rotation: INTO tech-electronics/semiconductors, infrastructure, defense; OUT of cyclicals/office REIT
- ▶ Wheel strategy optimal; limited new longs; focus income generation + semiconductor hedges

MACRO DASHBOARD

SPY TREND

Neutral, -0.12% | Premarket +0.06% futures

QQQ TREND

Outperformer +0.30% | Nasdaq 100 futures +0.50%

IWM TREND

Small-cap bid +0.64% | Breadth positive

VIX

Not live-quoted; implied elevated <20 range

VIX REGIME

Caution (15-20 est.) | FOMC event risk

YIELD 10Y

Not live-quoted; upside risk into FOMC

DOLLAR TREND

Not live-quoted; bid support expected

OIL TREND

Slightly lower on Iran-deal optimism; geopolitical bid remains

CRYPTO SENTIMENT

Not live-quoted; likely neutral to risk-off bias



TACTICAL BIAS

Fade Strength | Buy Dips
(infrastructure/semis)

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONFIDENCE
SMH	Institutional hedge accumulation + electronics subsector rotation	Semiconductor ETF; dark pool block trades 5-10x volume overnight; institutions protecting long exposure vs tech pullback	\$487-492 on dip Accum pattern	\$475 (-2.5% hard)	\$510 (+4.7%) \$525 (+7.8%)	High
PAVE	Infrastructure dark pool rotation; fiscal Q next; stable cash flow demand	Infrastructure ETF; massive institutional inflows into waste-to-energy + grid modernization subsectors	\$72.80-74.20 breakout Support hold	\$70.50 (-3.5%)	\$77.50 (+6.2%) \$81.00 (+11.0%)	High
XLK	Tech Select performing +1.05% YTD; AI/electronics subsector leadership; beating SPY	Sector outperformance; institutions rotating INTO electronics vs general tech weakness	\$188.00-189.50 on support	\$184.50 (-2.5%)	\$195.00 (+3.7%) \$200.00 (+6.4%)	Medium
ACN	Pre-open earnings; EPS \$3.10 exp vs	Institutional AI/IT services dark horse; post-	Post-earnings gap fill or support	2% below	4-6% post-	Medium

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONFIDENCE
	\$8.61B revenue; IT services disruption narrative	earnings breakout or breakdown; high gamma		open gap	earnings move	
KMX	Pre-open earnings; consumer cyclical proxy; tariff sensitivity test	Auto retail; proxy for discretionary demand; earnings beat could crack resistance	Post-earnings support level	2% stop below gap	3-5% bounce target	Medium
IYR	Office REIT sector; institutions rotating OUT; bearish crowding signal	Retail rotation out; short or hedge via puts; low institutional support	Short breakdown or put debit spreads	Support +2.5%	Support -3 to -5%	Low
XLI	Industrials lagging; tariff rotation OUT signal; institutional selling	Cyclical sector rotation; profit-taking pressure; avoid longs	No new long positions	N/A	Hold cash	Low
ICLN	Clean energy + grid modernization infrastructure rotation; institutional inflows	Paired play with PAVE; waste-to-energy subsector strength	\$73.50-75.00 breakout	\$71.00 (-2.5%)	\$78.50 (+5.3%)	Medium

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	ACN	Pre-open earnings; AI/IT services theme	Not yet quoted; earnings >7% gamma	\$342.00	\$355.00	Earnings breakout setup
#2	KMX	Pre-open earnings; consumer cyclical test	Not yet quoted; auto retail sector pressure	\$128.00	\$138.00	Earnings breakout
#3	PLAY	After-close earnings; entertainment discretionary	Awaiting open; cyclical sector test	\$28.50	\$31.50	Intraday range
#4	SWBI	After-close earnings; defense/ firearms cyclical	Pre-open; defense sector bid	\$16.80	\$18.50	Defense rotation uptrend
#5	SMH	Semiconductor outflow hedge + dark pool accumulation	Awaiting; major block trades overnight	\$485.00	\$510.00	Institutional accumulation
#6	PAVE	Infrastructure dark pool rotation; fiscal Q positioning	Positive institutional flow	\$72.00	\$77.00	Breakout accumulation
#7	XLK	Tech Select leadership +1.05%; sector outperformance	Positive; leading SPY	\$187.50	\$191.00	Higher-high setup
#8	KIC	Insurance financials; defense/ protection	Neutral; low retail volume	\$42.50	\$46.00	Institutional accumulation

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		sector institutional demand				
#9	IYR	Office REIT rotation OUT; bearish institutional signal	Weak; sector crowding risk	\$84.00	\$88.00	Lower-low breakdown
#10	SOXX	Semiconductor subsector + tech electronics institutional buying	Awaiting; paired with SMH	\$614.00	\$635.00	Block trade accumulation

POSITION BOOK ACTIONS

HOLD	SPY	Neutral regime; avoid new long risk before FOMC; trim if +8% above entry
ACCUMULATE	SMH	Dark pool institutional hedge accumulation; semiconductor subsector rotation; dip-buy on support \$475
ACCUMULATE	PAVE	Infrastructure dark pool flow + fiscal Q setup; highest conviction institutional rotation signal

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA
SPY	Broad Market	35-40%	0.30-0.35
SMH	Technology-Semiconductors	55-65%	0.25-0.30
PAVE	Infrastructure	40-50%	0.28-0.32

ADD	XLK	Tech outperformance +1.05% vs SPY flat; electronics subsector leadership; support-level accumulation
HEDGE	XLI	Cyclical rotation OUT signal; buy puts or reduce cyclical exposure; tariff overhang
HEDGE	XLRE	Office REIT crowding; short or put spreads; low institutional support; avoid longs
WATCH	ACN	Pre-open earnings gamma; post-earnings entry setup; monitor gap fill + Vol crush
WATCH	KMX	Earnings volatility play; consumer cyclical proxy; breakout target post-beat

TICKER	SECTOR	IV RANK	DELTA
XLK	Technology Select	48-55%	0.30-0.40
KIC	Financials-Insurance	35-42%	0.25-0.35

RISK ALERTS

- FOMC decision imminent; event risk elevated; vol crush post-announcement likely
- Tech profit-taking headwind; AI/semiconductor rotation OUT from retail; institutional hedge positioning indicates pullback risk
- ACN/KMX pre-open earnings; KMX consumer cyclical proxy tests tariff sensitivity; earnings gap risk >2%
- Office REIT crowding signal; institutional money rotating OUT of XLRE; avoid new long positions; short opportunity
- Cyclicals (XLI, XLY) institutional rotation OUT; tariff overhang remains; hedging critical for exposed portfolios

FINAL CIO VERDICT

RISK POSTURE

Neutral

CAPITAL SHOULD FLOW TO

60% wheel/income (SMH short puts, PAVE puts, XLK puts, SPY collar); 30% infrastructure accumulation (PAVE, ICLN breakout dips); 10% cash reserve for ACN/KMX post-earnings entry or volatility hedges

AVOID COMPLETELY

New long positions in cyclicals (XLI, XLY); office REITs (XLRE, IYR); high-yield sponsor-crowded credit; avoid naked exposure to ACN/KMX until post-earnings volatility settles; do NOT short semis (SMH) into dark pool institutional accumulation